No. 18-0918

In The

Supreme Court of the United States

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

v.

MILTON WEINBERG, RESPONDENT.

On writ of Certiorari to the
United States Court of Appeals
for the Thirteenth Circuit

BRIEF FOR RESPONDENT

Team R: #54
Attorneys for Respondent

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?
2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

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STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATEMENT OF THE FACTS

The Debtor, Backstreets Plowing, Inc. owned by Christopher Clemons was a snow plowing business that operated in the City of Badlands. R at 3. To remain competitive in the industry and to secure a new contract with the City, Clemons needed new snow plow trucks, which he financed through the aid of his longtime friend, Respondent , Milton Weinberg. R at 3-4. The Debtor borrowed $450,000 from Weinberg. R at 4. The note evidencing the loan required the Debtor to make monthly installment payments beginning in December 2015. R at 4. Clemons personally guaranteed the Debtor's obligation to repay the loan. R at 4. In addition, the Debtor granted Mr. Weinberg a security interest in the trucks to secure its obligation to repay the loan. R at 4.

The Debtor won the City contract, which paid a flat rate whether it snowed or not. R at 4. With the winter of 2015-2016 having been unusually mild, the Debtor made a significant profit. R at 5. Nevertheless, the Debtor failed to make its first few payments on the promissory note. R at 5. Clemons ignored several calls from Weinberg and threatened forcibly to remove Weinberg from the premises when he came to speak about repayment. R at 5.

In April 2016, Mr. Weinberg filed a lawsuit against the Debtor on the note and against Clemons on his personal guarantee. R at 5. Weinberg obtained a default judgment in the amount of the loan against both Clemons and the Debtor, jointly and severally. R at 5. In January 2017, Weinberg hired a repossession company to collect on his judgment and obtained the snow plows, which are currently housed under his warehouse. R at 6.

The winter of 2016-2017 was significantly worse than the prior winter. R at 5. The Debtor was barely able to keep up with its costs and, without the plows, it was unable to fulfill its contract with the city of Badlands. R at 6.

The debtor filed a chapter 11 bankruptcy petition on February 4, 2017. R at 6. Shortly thereafter, its attorney sent a letter to Mr. Weinberg demanding return of the trucks. R at 6. Weinberg, however, refused to do so, asserting that the Debtor bore the burden of bringing a turnover action, at which time he could demand adequate protection of his interest. R at 6. Instead of filing a turnover action, Debtor filed a motion asking the bankruptcy court to find passive retention of vehicles to be in violation of the automatic stay. R at 6. Siding with Weinberg, the court read 11 U.S.C. § 362(a)(3) to exclude passive retention of collateral lawfully repossessed prepetition. R at 6.

Shortly after filing a timely appeal, Debtor converted its chapter 11 case to a liquidation under chapter 7 in light of the fact that the City was not going to offer it a new contract for winter 2017-2018, thus eliminating the Debtor's prospect of reorganizing. R at 7. At this time, Weinberg hired a collection law firm and discovered that Clemons made fraudulent transfers of $100,000 to his daughter, Patti, shortly after Weinberg filed his initial lawsuit. R at 7. After the debtor's newly appointed Trustee settled with Patti for $75,000, Weinberg moved for allowance of his substantial contribution as administrative expense pursuant to 11 U.S.C. § 503(b). R at 7. While the Trustee acknowledged the substantial efforts, he opposed the motion, claiming 11 U.S.C. § 503(b)(3)(D) expressly limited such expenses to cases under chapters 9 and 11. R at 8. The bankruptcy court, however, ruled in favor of Weinberg, granting him an administrative expense of $25,000. The Trustee timely appealed. R at 8.

In September 2017, the Trustee received an offer from a competing snow plow company, Tenth Avenue, to purchase the Debtor's trucks and other assets, contingent on the Trustee obtaining immediate possession of the trucks. R at 8. Rather than bringing a turnover action, the Trustee sought to persuade Weinberg by threatening to obtain a damages award against him by

prosecuting the appeal from the bankruptcy court's order denying the motion asserting that the failure to return physical possession of the trucks to the estate violated the automatic stay. R at 8. When Weinberg refused to give in to that threat, Tenth Avenue pulled out of the transaction. R at 8. Thereafter, another competitor, Stone Pony, offered $100,000 less for the Debtor's assets, excluding the snow plows. R at 8. The Trustee accepted Stoney Pony's offer. R at 9. Although that transaction has now closed, the Trustee refused to dismiss the appeals from the orders denying the motion seeking sanctions for the alleged automatic stay violation and granting the administrative expense, which were affirmed by both the bankruptcy appellate panel and the Court of Appeals for the Thirteenth Circuit. R at 9. This Court granted certiorari to review the two questions presented. R at 9.

SUMMARY OF THE ARGUMENT

1. The history, text, and structure of the Bankruptcy Code make clear that a creditor need not turnover its collateral prior to the entry of an order so requiring. The fundamental structure of the Bankruptcy Code is that the debtor's interest in property enters the bankruptcy estate upon the filing of a petition. To the extent that the debtor has legal title but lacks a *possessory* interest in an asset, as of the filing, the creation of the bankruptcy estate does not automatically entitle the debtor to possession. Rather, the turnover power codified in § 542 gives the trustee the ability to file a motion to compel a creditor to deliver possession of the asset to the trustee. At the same time, the creditor is entitled—before parting with its possessory interest in the asset—to seek and obtain adequate protection for its interests. Reading the automatic stay to require a creditor to deliver the asset to the trustee upsets this careful balancing of interests reflected in the design of the Code.

Nothing in this Court's seminal decision in *Whiting Pools* is to the contrary. *Whiting Pools* holds that property that a creditor has repossessed prior to the petition date remains

"property of the estate" and subject to the turnover authority, up until the time at which the creditor conducts a foreclosure sale and title to the asset is transferred as a matter of non-bankruptcy law. This Court's analysis does *not* require the conclusion that a creditor violates the automatic stay merely by maintaining possession of the asset. To the contrary, *Whiting Pools* explains that § 542(a) is not self-executing. As the statute makes clear, there are cases in which a creditor is entitled to remain in possession of an asset in which the debtor holds legal title, such as when the would have only inconsequential value to the estate or when the creditors' continued possession is necessary to protect the creditor's interests under § 363(e). Therefore, turnover provided in § 542(a) is not automatic. Had Congress intended to make turnover automatic when it added statutory language regarding a creditor's "exercising control" over property of the estate, it would have likely amended the turnover provision, rather than the automatic stay provision at § 362(a)(3).

Indeed, this Court has previously explained how the turnover authority and the automatic stay effectively operate as two sides of the same coin – and that neither provision should be read to render the other superfluous. For example, this Court's decision in *Citizens v. Strumpf*, explained that the automatic stay provision in § 362(a)(3) should not be construed to eviscerate another turnover provision § 542(b), which contains an exception from the turnover power where a creditor's possession is required to permit it to offset a mutual debt with the debtor.

Rather than respecting the careful balancing of interests reflected in the Bankruptcy Code, the Majority Courts rely heavily on language in this Court's opinion in *Whiting Pools* that was not necessary to this Court's opinion. Specifically, the Court stated in *Whiting Pools* that the turnover power "requires an entity . . . holding any property of the debtor that trustee can use under §363 to turn that property over to the trustee." And while that statement is certainly is

correct as far as it goes, nothing in that *dictum* indicates whether that obligation arises simply by virtue of the filing of the bankruptcy or is instead triggered by an order of the bankruptcy court, entered after a motion by the trustee seeking such a turnover.

Correctly understood, the concept of "property of the estate" reflects the metaphor of property as a "bundle of sticks" or separate legal entitlements tied together. On the date of petition, the debtor has two distinct legal entitlements or "sticks"—legal title and the right to regain property—but it does not have a third stick, a possessory interest in the asset. Possession *becomes* a stick in the property bundle of the estate through recovery following a turnover action, not automatically upon filing for bankruptcy. The Second Circuit was therefore correct when it explained that fraudulently transferred property is not automatically property of the estate upon the filing of a bankruptcy petition, but rather *becomes* such property, under § 541(a), through avoidance and recovery under Sections 548 and 550.

Nor is the question in this case answered simply by the use of the words "exercise control" in Section 362(a)(3). The better view is that the inclusion of this language in the 1994 Amendments to the Code was not intended to represent a dramatic break from prior practice. Instead, the amendments to the Bankruptcy Code are best understood (and consistent with the congressional reports from 1978 and 1980) as addressed to interference with estate assets over which no party has physical possession – such as an act to exercise control over an estate cause of action by seeking to pursue a claim that in fact belongs to the trustee.

If this Court adopts the Majority interpretation, then there is a real concern that the automatic turnover will prejudice the interest of the secured creditors and in some cases leave the creditors without any adequate protection. Moreover, taking the Majority interpretation will

increase litigation costs as negotiation of adequate protection will no longer occur outside of court.

Finally, this reading of the Code conforms with the commonsense notion that the "automatic stay" operates as a negative injunction rather than as a mandatory injunction that creates creating affirmative duties to act. In this regard, the decision of the Thirteenth Circuit is in harmony with the many courts that have held that the discharge injunction is operates merely as a negative injunction. Courts routinely find that refusal to release a lien and refusal to update a credit report are passive activities and the discharge injunction does not transform those passive activities into affirmative duties. For similar reasons, this Court should find that the automatic stay does not transform the passive retention of collateral into an affirmative duty to turnover property.

2. The fact that the Weinberg made a substantial contribution to the trust is undisputed. The Bankruptcy code is clear in that 11 U.S.C. § 503(b) is the only source of authority for allocating administrative expense status. While this statute lists several types of potential administrative expenses, not including that for a substantial contribution by a creditor in a chapter 7 case, courts have interpreted language in 11 U.S.C. § 503(b) and 11 U.S.C. § 103(2) to indicate that the list of allowable administrative expenses under 11 U.S.C. § 503(b) is illustrative and not exhaustive. Although the language of the more specific 11 U.S.C. § 503(b)(3)(D) explicitly mention expenses incurred by a creditor contributing to a case under chapter 9 or 11 bankruptcy, interpreting the language here to exclude chapter 7 cases would strip the broader language in 11 U.S.C.§503(b) of any meaning. Further, Congress provided this language to illustrate more common administrative expenses instead of rarer administrative expenses such as the one in dispute in the present case. To be sure, the inclusion of language

indicating an illustrative list in 11 U.S.C. § 503(b)(1)(A) is stronger than the language in 11 U.S.C § 503(b)(3)(D), nevertheless this does not indicate that 11 U.S.C. § 503(b)(3)(D) is exhaustive as it would render the language in 11 U.S.C. § 503(b) meaningless. Congress already has a means of limiting the discretion of the court to provide administrative expenses through 11 U.S.C. § 503(c) which it has used in the past. Without a clear indicator that Weinberg's expenses are excluded from administrative expense status, the court should look equitable principles to determine whether to consider Weinberg's expenses administrative or not.

Congress intended to afford bankruptcy courts significant discretion in the allowance of administrative claims, permitting them to rely on equitable principles to flesh out matters that would otherwise be ambiguous based on the statutory text alone. Given the admittedly ambiguous language in 11 U.S.C. § 503, the court acted well within the substantial discretion afforded to it by Congress in looking to equitable principles in granting administrative expenses to the Respondent. Indeed, equitable principles require that the Respondent be compensated for efforts that substantially benefitted the bankruptcy estate. It advances sound bankruptcy policy to encourage creditors to assist in exposing fraudulent activities and maximizing recoveries for the benefit of all stakeholders.

ARGUMENT

I. THE TEXT, HISTORY, AND STRUCTURE OF THE CODE MAKE CLEAR THAT A CREDITOR NEED NOT TURNOVER ITS COLLATERAL PRIOR TO THE ENTRY OF AN ORDER SO REQUIRING

A. Section 362(a)(3) Does Not Exceed The Scope Of The Turnover Provision Codified At Section 542(a)

1. Most courts, on both sides of the "passive retention" issue, agree that this Court's decision in, *United States v. Whiting Pools, Inc.*, 462 U.S. 198 (1983), did not resolve the question whether the passive retention of lawfully repossessed collateral, obtained pre-petition,

violates the automatic stay. *See, e.g., Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 77 (2d Cir. 2013); *see also WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 943 (10th Cir. 2017). Rather, *Whiting Pools* stands for the commonsense proposition that secured creditors must return lawfully seized property pursuant to a turnover order. *See* 462 U.S. at 199 (finding "[t]he issue before us is whether §542(a) of [the] Code authorized the Bankruptcy Court to subject the IRS to a turnover *order* with respect to the seized property.") (emphasis added). However, the Second Circuit's decision in *In re Weber* and the Seventh's Circuits decision in *Thompson v. GMAC*, both extrapolated on *Whiting Pools* dictum to find § 542(a), self-executing. *See In re Weber*, 719 F.3d at 79; *See Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699, 707-08 (7th Cir. 2009).

But the key word is turnover *order*. This Court in *Whiting Pools* explicitly references court order as a condition precedent to turnover in its reliance on the judicial precedent that predated the 1978 Reform Act—"the bankruptcy *court* could *order* the turnover of collateral in the hands of a secured creditor." 462 U.S. at 208 (emphasis added). This Court's decision thus provides that a court turnover order is required before a secured creditor need relinquish possession of the repossessed collateral. *See id.* In other words, Section 542(a) is not self-executing.

Section 542(a) merely provides a "statutory basis" for turnover, with the Section 105(a) equitable powers provision providing the bankruptcy courts with the injunctive authority. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part I): Origins and Evolution of the Turnover Power*, 33 BANKR. L. LETTER 8, Aug. 2013, at 4. As this Court noted in *Maggio v. Zeitz*, 333 U.S. 56, 61 (1948), before § 542(a)'s codification, bankruptcy courts could enforce "the debtor's statutory turnover obligation under...§ 521(4)" to trustees

through § 105(a). Brubaker, *Part I*, *supra*, at 4. Therefore, the turnover obligation of non-debtors, in parallel step with the turnover obligation of debtors, requires execution through § 105(a). *See id.* If § 542(a) were self-executing, then a "subsequent turnover order" by the court would be superfluous. *Id.* at 5. Moreover, injunctions are enforced with contempt citations rather than further injunctions. *Id.*

Furthermore, Section 542(a) cannot be self-executing because of the express limitations on turnover, which neither the Seventh nor Second Circuits fully address in their analyses. *See Thompson*, 566 F.3d at 707-08 (acknowledging but ignoring); *see also In re Weber*, 719 F.3d at 75, 79 (acknowledging but finding § 542 "self-executing" any way). This Court's decision in *Whiting Pools* notes three limitations to § 542(a) in which turnover is not required—(i) the property is of inconsequential value or benefit to the estate, (ii) the creditor has sold the property in good faith before petition, or (iii) "when the transfer of property is automatic to pay a life insurance premium." 462 U.S. at 206 n.12. Specifically, determinations whether the property would "benefit the estate" are not self-evident. *See id.* The presence of this statutory exception thus strongly implies that Congress intended the bankruptcy court to make an affirmative determination that the creditor was required to turn over the collateral. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 BANKR. L. LETTER 9, Sept. 2013, at 4. Indeed, under the reasoning of the Second and Seventh Circuits, it would be easy to imagine a scenario in which a court reached the anomalous conclusion that the property is of inconsequential value and therefore *not subject to § 542(a)*, but nonetheless finds the secured creditor in violation of the automatic stay because it passively retained possession of that property. *See id.* Congress could not have intended such a result. *See Id.* Moreover, as Professor Brubaker persuasively explained, "it seems highly

unlikely that Congress would indirectly impose a self-effectuating turnover obligation via § 362(a)(3) that exceeds the scope of the § 542(a) turnover provision." *Id.* at 4.

2. This Court's decision in *Whiting Pools* mentioned only three limitations on § 542(a), "lack of adequate protection not being one of them." *Thompson*, 566 F.3d at 706. Arguably, though, the greatest express limitation on § 542(a) comes from its relationship with the adequate protection provisions set forth in § 363(e) in the Code. 11 U.S.C. § 363; *but cf. id.* In relevant part, § 542(a) requires turnover of "property that the trustee may use, sell, or lease under Section 363 of this title." 11 U.S.C. § 542(a). Section 363(e) provides an express limitation on property available for turnover—"...on request of an entity that has an interest in property used, sold, or leased, or *proposed to be* used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest." 11 U.S.C. § 363(e) (emphasis added). This express limitation indicates that a court's determination of what will constitute adequate protection, such as insurance or depreciation payments, is a condition precedent to turnover under § 542(a). *See* Brubaker, *Part II*, *supra*, at 5.

The very notion of the phrase "proposed to be" indicates that the court will exercise discretion to assess the proposed use, sale, or lease of the property to be turned over before such action is taken by the trustee. *See id.* at 6. Even the Seventh Circuit in *Thompson* implicitly acknowledges some court discretion is necessary to decide whether the trustee *can* use the property in the hands of a secured creditor. 566 F.3d at 705 (citing, *Whiting Pools*, 462 U.S. at 205, on the legislative history: "[Section 542(a)] requires an entity...holding any property of the debtor that the trustee *can* use under § 363 to turn that property over to the trustee.") (emphasis added). The use of "can" in the *Whiting Pool's* analysis of § 542(a) and the use of "proposed to

be" in § 363 both contemplate that further court assessments are needed. *See id.*; *see also* Brubaker, *Part II*, *supra*, at 6. The former on whether the trustee can use the property and the latter on whether the creditor has adequate protection on its interest. *See* Brubaker, *Part II*, *supra*, at 5-6. Therefore, § 542(a) is not self-executing.

By analogy, this Court's decision in *Citizens Bank of Maryland v. Strumpf*, explained that § 362(a)(3) does not exceed the scope of the turnover provision, § 542(b). 516 U.S. 16, 21 (1995) ("we will not give § 362(a)(3)...an interpretation that would proscribe what § 542(b)'s "except[ion]" and § 553(a)'s general rule were plainly intended to permit"). Section 542(b) requires third parties to turnover or pay debts owed to the estate, "except to the extent that such debt may be offset by section 553, [which is the right of a creditor to offset a mutual debt with the debtor]." 11 U.S.C. §§ 542(b), 553. Citizens Bank placed an administrative hold on the debtor's checking account in exercise of its setoff rights until it filed a motion for relief of the automatic stay and for setoff. *Strumpf*, 516 U.S. at 17-18. This Court found that in doing so, Citizens Bank did not violate the automatic stay. *Id.* at 21. In other words, the right of offset limits the turnover powers under § 542(b), and this Court made clear that § 362(a)(3) cannot exceed the turnover provision of § 542(b). *See id.* Therefore, given that the right of adequate protection limits the turnover powers under § 542(a), by analogy, § 362(a)(3) should not exceed the turnover provision of § 542(a).

Finally, § 363(p)(1) mandates that the debtor has the burden of proof on the issue of adequate protection, which implies that there is a presumption of inadequate protection unless proven otherwise. *See* Brubaker, *Part II*, *supra*, at 8. This further supports the conclusion that Congress intended that a bankruptcy court would reach a judgment with respect to adequate protection before a secured creditor is required to turnover its collateral to the trustee.

B. The Secured Creditor Is Exercising Control Over "Possession" Whereas § 362(a)(3) Only Protects Against Exercising Control Over "Property Of The Estate"

The Majority Courts broadly read the *Whiting Pools*' dicta on what constitutes 'property of the estate', under § 541(a) of the Code. *See In re Weber*, 719 F.3d at 78; *see also Thompson*, 566 F.3d at 701-02. Under this broad interpretation, debtors automatically obtain a possessory interest in property, not in their possession, upon filing a petition. *See, e.g., In re Weber*, 719 F.3d at 78. While the debtor might have a right to regain property, they do not *automatically* have a right to possession without recovery. *See* Brubaker, *Part I*, *supra*, at 5.

Section 541(a) provides that property of the estate includes "all legal or equitable interests of the debtor in property as commencement of the case...wherever located and by whomever held." 11 U.S.C. § 541(a). As this Court explained in *Whiting Pools,* "§ 541(a)(1) is intended to include in the estate any property made available to the estate by other provisions of the Bankruptcy Code." 462 U.S. at 205. This Court explains that § 542(a) is such a provision. *Id.* The Majority Courts have construed this dictum to imply that lawfully repossessed collateral automatically becomes "property of the estate", which is explicitly protected under the automatic stay—"any act to obtain possession of *property of the estate*...or exercise control over *property of the estate*." 11 U.S.C. § 362(a)(3) (emphasis added); s*ee, e.g., In re Weber,* 719 F.3d at 78. Under this stretched interpretation, courts would then find a stay violation for not turning over collateral, considered property of the estate.

That analysis is flawed. By finding that possession is automatically "property of the estate" upon petition, the Majority Courts are substituting a colloquial definition of "property of the estate" for the proper legal-technical definition. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay: A Reply to Judge Wedoff*, 38 BANKR. L. LETTER 11, Nov.

2013, at 6. 'Property' and 'property of the estate' are two separate and distinct concepts. *Id.* at 6-7. 'Property', standing alone instils the colloquial sense of the word—property as a thing (e.g. snow plows). *Id.* Whereas 'property of the estate' embodies a legal-technical definition—i.e. property composed of a bundle of sticks or legal entitlements. *Id*. at 6. On the date of petition, the secured creditor has a possessory interest in the repossessed collateral, while the debtor retains a title interest in the collateral and a right (through the equity of redemption) to regain or reclaim physical possession. *Id.* at 7. Physical possession and title are merely two separate sticks in the property bundle of the thing; the collateral or snow plow trucks. *Id.* Under this legal-technical definition, the snow plows or the physical possession of them are not property of the estate on petition date, in the absence of an action for recovery. *See* Brubaker, *Part II*, *supra*, at 6. However, under the Majority's colloquial definition of 'property of the estate', the snow plows or the physical possession of them become property of the estate on petition date; disregarding the separate legal entitlements. *Id.* at 5. Under the legal-technical definition, an individual could own all the legal entitlements and have a fee simple absolute in the thing; meaning he has title, possession, right to use. *See id*. However, on petition date, the debtor does not own all the legal entitlements in its property bundle. *Whiting Pools*, 462 U.S. at 207 n.15.

It is evident from both the text of § 362(a)(3) and the structural use of the terms, 'property' and 'property of estate' in other parts of the Code that "property of the estate" cannot mean 'property' in the colloquial sense. Therefore, the secured creditor is exercising control over "possession" and not contravening the automatic stay.

1. Section 541(a)(1) explicitly uses the terms, "legal and equitable interests" in property, which indicates its adoption of the legal bundle of sticks definition. Brubaker, *Reply to Wedoff*, *supra*, at 7. Additionally, the House and Senate Reports on the purpose of § 541(a)(1) support

the legal-technical definition of property. S. REP. NO. 95-989, at 50 (1978); H.R. REP. NO. 95-595, at 341 (1977); *see also* Brubaker, *Reply to Wedoff, supra,* at 7 ("The debtor's interest in property...includes 'title' to property, which is an interest, just as are a possessory interest, or leasehold interest, for example."). Furthermore, *Whiting Pools* makes it clear that § 542(a) "grants to the estate a possessory *interest*" not held on petition date. 462 U.S. at 206 (emphasis added); *see also* Brubaker, *Reply to Wedoff, supra*, at 7. Because otherwise, § 542(a) "would be largely superfluous in light of § 541(a)(1)." *Whiting Pools,* 462 U.S. at 207 n.15 (finding that the debtor had interests or rights in the IRS-seized property—the right to notice and the right to surplus—but did not have interests in the physical possession of the property at time of petition). This holding in *Whiting Pools* provides further support for the argument that "property of the estate" embodies a legal-technical definition.

2. The text of § 362(a)(3) itself distinguishes between the legal "bundle of sticks" definition and the colloquial definition of the term property—"to obtain possession of *property of the estate* or of *property* from the estate." 11 U.S.C. § 362(a)(3) (emphasis added); Brubaker, *Reply to Wedoff, supra,* at 8. It would be redundant to treat both those italicized terms as meaning the same thing—the physical thing. Brubaker, *Reply to Wedoff, supra,* at 8. In statutory interpretation, "[a] word or phrase is presumed to bear the same meaning throughout a text; a material variation in terms suggests a variation in meaning." Antonin Scalia & Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts* 318 (2012). Moreover, the use of the word "from" in the latter phrase implies that the debtor is in physical possession of a thing on the petition date that would otherwise have to be physically taken away *from* it. *See* Brubaker, *Reply to Wedoff, supra,* at 8. A locational reference to where the physical property is. Whereas the

"property of estate" definition could include legal or equitable interests in property held wherever by whomever. *See* 11 U.S.C. § 362(a)(3).

3. Finally, even the Second Circuit, which broadly reads the *Whiting Pools* dictum on "property of the estate" in *In re Weber*, acknowledges the legal bundle of sticks definition of property with possession not automatically being included as property of the estate under 541(a)(1). *In re Colonial Realty Co.*, 980 F.2d 125, 131 (2d Cir. 1992); *see also In re Weber*, 719 F.3d at 78. In *In re Colonial* property that is recoverable or a possessory interest to reclaim is not included in the definition of § 541(a)(1). 980 F.2d 125, 131 (finding that if fraudulently transferred property is construed as part of the property of the estate under § 541(a)(1), then the distinction of § 541(a)(3) recoverable property would be meaningless); *see also* Brubaker, *Part II*, *supra*, at 6. In one instance the Second Circuit argues that recoverable property is not automatically property of the estate under § 541(a)(1) until recovered. *In re Colonial*, F.2d at 131. In another instance, the Second Circuit seemingly contradicts this structural framework by stating that § 541(a)(1) property includes repossessed collateral immediately on petition date, even though it falls under the class of § 541(a)(7) recoverable property. *In re Weber*, 719 F.3d at 78; *see* Brubaker, *Part II, supra*, at 5. Professor Brubaker eloquently concludes: "possession is not a property interest to which the estate automatically succeeds on filing date under §541(a)(1). *See* Brubaker, *Part II, supra*, at 5. Rather, possession becomes 'property of the estate' under § 541(a)(7) only to the extent the estate successfully invokes turnover through § 542(a)." *Id.* at 6. If physical possession is automatically a legal or equitable interest in the property of the estate, then courts would be transforming "a debtor's equitable ownership interest into a bankruptcy estate's possessory right. *Id.* at 6.

C. Ambiguity In The Amended Language And Lack Of Direct Legislative History Favor The Conclusion That The 1984 Amendment Was A Clarification Rather Than A Sweeping Change

The Thirteenth Circuit notes that in a typical statutory interpretation case, if the text is unambiguous then the "judicial inquiry is complete." R. on Appeal 11 (citing *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992)). While that statement may be true as far as it goes, it does not resolve this case, because the amended language under Section 362(a)(3) is hardly unambiguous. Indeed, courts disagree over which part of the statutory language best informs the phrase; "any act" or "to exercise control"; and they also disagree over the definition of "an act". The text of § 362(a)(3) is thus ambiguous.

1. On the one hand, the Tenth and Thirteenth Circuits emphasize the modifier of both infinitive phrases, "any act", as the operative language with Black's Law Dictionary and the New Oxford Dictionary both defining "act" as "doing something". R. on Appeal at 11; *In re Cowen*, 849 F.3d at 949. The Tenth Circuit explains that this plain language indicates that the creditor's passive retention of property cannot be construed as "doing something." On the other hand, the Seventh and Second Circuits focus their attention on the plain meaning of "control", which has been defined in Webster Dictionary to mean "having power over", "restraining or directing influence over", or "to exercise authority over". *Thompson*, 566 F.3d at 702; *In re Weber*, 719 F.3d at 79. These courts find that the passive retention of snow plows is exercising control over them because the secured creditor is intentionally depriving the debtor of their use. *See id.* The ambiguity between which phrase is the operative language necessitates further judicial inquiry into the congressional purpose of the amended language.

2. The Majority Courts also find that passive retention is an "act" to deprive benefits to the debtor. Yet, an intra-Circuit debate in the Seventh Circuit reveals an incongruity in defining

"act" under § 362. *See City of Chicago v. Kennedy*, Bankr. L. Rep. (CCH) P 83246, No. 17 CV 5945, 2018 WL 2087453, at *4 (Bankr. N.D. Ill. May 4, 2018) (treating passive retention as an "act"); *but see In re Shannon*, 590 B.R. 467, 467 (Bankr. N.D. Ill 2018) (not treating passive retention as an "act"). Some lower courts find that passive retention to perfect a lien is not an "act" under the § 362(b)(3) automatic stay exception yet find that passive retention is an "act" to exercise control over property in violation of the automatic stay, § 362(a)(3). *See, e.g.*, *In re Shannon*, 580 B.R. at 467. This inconsistency "contravenes the presumption that the same words appearing in a statute carry the same meaning throughout." Brubaker, *Reply to Wedoff, supra,* at 10 (referencing Antonin Scalia & Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts* 318 (2012)). This ambiguity over the term "an act" within a Circuit adopting the majority approach also necessitates further judicial inquiry into the legislative history.

The Seventh Circuit in *Thompson* concedes that "Congress did not provide an explanation of [the] amendment" to § 362(a)(3). *Thompson*, 566 F.3d at 702; *see also In re Weber*, 719 F.3d at 80 (citing to *Thompson* in its concurrence that there is no express congressional purpose on the amendment at issue in this case). The *Thompson* Court explains that the mere fact that Congress enlarged the text with the addition, "to exercise control", inheres an intention to "to prohibit conduct above and beyond obtaining possession of an asset." The Court then curtly concludes that conduct above and beyond obtaining possession includes the passive retention of collateral. *Thompson*, 566 F.3d at 702; *see also In re Weber*, 719 F.3d at 80 (supporting this conclusion on textual enlargement of the scope).

However, in the words of the Tenth Circuit, the Majority "reads too much into the section's legislative history." *In re Cowen*, 849 F.3d at 949 (citing *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 468 (2001), "Congress does not hide elephants in mouseholes").

The *Cowen* Court concludes that Congress intended a "less sweeping" change in the law with the addition of "exercising control". *Id.* It presumes that Congress added the language to reach non-possessory conduct that might interfere with the property of the estate, given that Congress already prohibited acts to obtain possession of the estate's property interests. *Id.* (citing Ralph Brubaker, *Part II*, *supra*, at 3). Non-possessory conduct includes, for example, interference with the estate's intangible rights, like contract rights or causes of action, which are "incapable of real possession unless...reified." *Id.* at 950.

Article 9 of the Uniform Commercial Code ("U.C.C.") supports this conclusion that "control" stands for non-possessory interference of the estate. Brubaker, *Reply to Wedoff*, *supra*, at 4. On the one hand, § 9-313 provides for perfection of tangible property through possession. *Id*. On the other hand, § 9-314 the U.C.C. provides for perfection of intangible property through control. *Id*. In other words, an entity can possess physical things and control intangible things, yet the Majority Courts are reading "exercise control" to cover both intangible property *and* physical, tangible property. *Id.* at 5. Reading the "exercise control" language too broadly essentially swallows up the language, "to obtain possession"; thus, rendering it superfluous. *Id*. Therefore, in order to give meaning to both "obtain possession" *and* "exercise control", the *Cowen* Court reads the latter infinitive to cover non-possessory interference with property of the estate. *See* 849 F.3d at 949-50; *see also* Brubaker, *Reply to Wedoff*, *supra*, at 4-5 (listing examples of non-possessory interference: "counterparty's unilateral post-petition termination of a contract with the debtor or an individual shareholder's post-petition prosecution of a debtor corporation's derivative suit").

While there is no direct congressional purpose for the amended language in the legislative history, the record does provide further support for the conclusion that Congress

intended to reach non-possessory control rather than passive retention of repossessed collateral. Senate and House reports from 1978 and 1977 distinguish between "control" and "possession" in reading the purpose of the original act of § 362(a)(3). S. REP. NO. 95-989, at 50 (1978); H.R. REP. NO. 95-595, at 341 (1977); Brubaker, *Part II, supra*, at 3 n.12. Yet, the original text of the statute left out "control". Therefore, the Amendment in 1984 was likely an attempt to rectify that oversight. Brubaker, *Reply to Wedoff, supra*, at 6 n.41 (citing S. REP. NO. 95-989, at 50 (1978); H.R. REP. NO. 95-595, at 341 (1977)). The congressional explanations on the 1984 Amendment, first proposed in 1980, support this conclusion. *See id.* In other words, the amended language was added to reinforce the idea that an entity could violate the automatic stay without obtaining possession of property of the estate. *See id.* at 6 n.43 (quoting in part H.R. REP. NO. 96-1195, at 10, "this amendment makes it clear...that the automatic stay against acts to obtain possession of property or from the estate also encompasses acts to exercise control over such property without the need for actually obtaining [possession of such] property."). Moreover, the 1984 Amendment was introduced three years before this Court addressed the turnover obligations of secured creditors holding repossessed collateral in *Whiting Pools*. Brubaker, *Reply to Wedoff, supra*, at 6. It is doubtful the 1980 Congress intended to create an automatic stay violation for not immediately turning over repossessed collateral before it was widely understood that secured creditors even had an obligation to turnover collateral. *Id*.

Moreover, if Congress had wanted to add an affirmative turnover obligation to the Code, it would likely have amended the turnover provision, § 542(a), rather than the automatic stay provision, § 362(a)(3). *In re Cowen*, 849 F.3d at 950. Additionally, the D.C. Circuit finds it suspect that Congress would have intended to punish secured creditors for mistakenly holding onto repossessed collateral given the steep penalties for willfully violating the automatic stay.

U.S. v. Inslaw, 932 F.2d 1467, 1473 (D.C. Cir. 1991) (listing "compensatory damages, costs, attorney's fees, and, in some circumstances, punitive damages").

D. Automatic Turnover Prejudices The Interests Of Secured Creditors And In Some Cases Leaves The Creditor Without Any Adequate Protection

Before the 1984 Amendment, secured creditors' rights were protected because the debtor had the burden of bringing a turnover proceeding, at which time a creditor could request adequate protection in defense. Brubaker, *Reply to Wedoff*, *supra*, at 2-3. Post-1984, under the Majority Courts' interpretation, secured creditors now give up their rights to adequate protection between the time they immediately turnover the repossessed collateral and the moment the bankruptcy court reviews the adequate protection claim under § 363(e). *Id.* (illustrating Judge Wedoff's concession to the prior procedural practice). While the *Thompson* Court acknowledges this concern, it finds that the secured creditor can request a § 362(f) emergency hearing, if the creditor thinks that its interests will be "irreparably" harmed. *Thompson*, 566 F.3d at 707. However, the expedited hearing does not guard against the problem of possessory liens, which disappear the moment possession is relinquished. Brubaker, *Part II*, *supra*, at 6-7.

Commentators argue that possessory liens will not be lost through automatic turnover. Eugene R. Wedoff, *The Automatic Stay Under § 362(a)(3)—One More Time*, 38 BANKR. L. LETTER 7, July 2018, at 5. Either the non-bankruptcy state law preserves the interest if the collateral was relinquished involuntarily to comply with a court order or the § 362(b)(3) stay exception applies to perfect a possessory lien. *Id*. at 5-6. With respect to the first point, even if the state law will not dissolve a possessory lien for involuntary turnover, it will be difficult to prove that the turnover was involuntary. Brubaker, *Reply to Wedoff*, *supra*, at 11-12. Because, under the Majority Courts' interpretation of § 362(a)(3), the Code requires automatic turnover without a court order and therefore possessory lien holders run the risk of a subsequent court

determining that their relinquishment was voluntary. *Id.* at 12. With respect to the § 362(b)(3) stay exception, if a possessory lien holder, attempting to comply with the automatic stay, turns over the property upon the debtor's request, then that creditor loses the right to invoke § 362(b)(3). *Id.* Furthermore, if the possessory lien withholds turnover property to invoke § 362(b)(3), but the court subsequently finds it inapplicable, then that creditor will be in willful violation of the automatic stay. *Id.*

Even if state law or the stay exception *do* protect possessory liens, the Seventh Circuit's emergency hearing solution does not guard against freak accidents such as fire, theft, or other casualty losses without the adequate protection of insurance. *See id.* Without providing a remedy for this issue of uninsured collateral, the Majority Courts fall back on policy arguments. *See, e.g.*, *Thompson*, 566 F.3d at 707. In their view, allowing the creditor to retain possession until it subjectively feels adequate protection is in place gives too much bargaining power to the creditor. *Id*. And if the debtor forgoes negotiations and seeks judicial relief via a turnover action, then the debtor will not have access to his property, likely a vehicle(s), for at least thirty days because Bankruptcy Rule 7001 requires a full-blown adversarial proceeding. Brubaker, *Part II*, *supra*, at 8-9. However, if creditor must initiate judicial relief, then he can avail himself of an expedited proceeding mandated by § 362(e). *Thompson*, 566 F.3d at 707.

The Majority's policy choice, disfavoring the creditor, fails to consider that the debtor would virtually never provide adequate protection before turnover; forcing the secured creditor to file for relief. Brubaker, *Part II*, *supra*, at 8. In other words, this debtor-friendly policy choice wastes time and resources on what could be solved through out-of-court negotiation. *Id*. Furthermore, this policy argument neglects to consider that § 362(e) gives the court *up to* thirty days to hear the issue of adequate protection, and anything can happen over the course of *thirty*

days, let alone just one day. 11 U.S.C. § 362(e); *see* R. on Appeal 14 n.8 (providing the example of a turned over vehicle destroyed in an accident prior to the court awarding protection).

The Seventh Circuit argues that debtors should not be bound to the secured creditor's subjective judgment of adequate protection. *Thompson*, 566 F.3d at. 707. Likewise, a creditor's property interest should not sway with the Debtor's whim. While it is crucially important to protect debtors, particularly individuals in Chapter 13, who need their vehicle for personal and business use, striking the balance of policy between debtors and creditors should be left to legislatures rather than the courts. Brubaker, *Reply to Wedoff*, *supra*, at 11.

E. The Automatic Stay Serves As A Negative Injunction Rather Than An Affirmative Injunction

The Automatic Stay provision, § 362(a)(3), which prohibits collection activity of creditors between the filing date and the closing of the case, operates in conjunction with the Discharge Injunction, § 524(a), which prohibits collection activity after the debtor receives a discharge. 11 U.S.C. §§ 362(a)(3), 524(a); *see* 11 U.S.C. 362(c) (the automatic stay terminates upon grant of discharge at which point § 524(a) takes over). The Discharge Injunction operates arguably as a negative injunction; prohibiting actions to collect discharged debts but not imposing affirmative duties on creditors to release liens on collateral or update credit reports to reflect bankruptcy discharges. *See In re Dendy*, 396 B.R. 171, 171 (Bankr. D.S.C. 2008); *see also In re Nash v. Clark County Dist. Atty's Office (In re Nash)*, 464 B.R. 874, 874 (B.A.P. 9th Cir. 2012). There are distinctions between the two provisions, such as the period of effectiveness. *Anderson v. Credit One Bank, N.A. (In re Anderson)*, 884 F.3d 382, 390 (2d Cir. 2018) (noting the difference in time period). However, the parallels between the two injunctions, including the shared purpose to prohibit collection activities, their shared goal to provide a fresh start, and court reliance on discharge injunction cases in review of automatic stay violations,

invite the conclusion that the Automatic Stay operates as a negative injunction. *See In re Keller*, 568 B.R. 118, 123 (B.A.P. 9th Cir.) (noting "because the standard for violations of the automatic stay and the discharge injunction are similar, the discharge injunction cases are relevant and persuasive"); *see also ZiLOG, Inc. v. Corning (In re ZiLOG, Inc.)*, 450 F.3d 996, 1008 n.12 (9th Cir. 2006). Therefore, § 362(a)(3) does not impose an affirmative duty of turnover.

1. Section 524(a) operates as a negative injunction. The provision provides in relevant part that a discharge "operates as an injunction against the commencement or *continuation of an action*, the *employment of process*, or *an act*, to collect or recover from, or offset any such debt as a personal liability of the debtor, whether or not the discharge of such debt is waived[.]" 11 U.S.C. § 524(a)(2) (emphasis added). The bankruptcy court, in *In re Dendy*, points out that the operative language in the provision— "action", "employment of process", or "an act"—indicates that violation of the discharge injunction involves an affirmative action involving the collection of discharged debts. 396 B.R. at 179. In support of this conclusion, the *Dendy* Court relies on the Seventh Circuit's analogous interpretation of the Fair Debt Collection Practices Act ("FDCPA"), which held "to be a 'debt collector' under the FDCPA entails engaging in some affirmative conduct with regard to collecting a debt, as evidenced by the statute's use of active verbs." *McCready v. eBay, Inc.*, 453 F.3d 882, 888-89 (7th Cir. 2006) (action verbs include "uses", "collects", "attempts to collect")*; see In re Dendy*, 396 B.R. at 179. The Seventh Circuit found that eBay's suspension of claimant's account until he satisfied the fraud allegations against his account was a passive activity because it did not constitute an attempt to collect a debt, but rather was a refusal to act. *McCready*, 453 F.3d at 889. In a similar way, § 524(a)'s use of active verbs provides the support for the conclusion that in the absence of an "act" to collect, recover or offset a discharged debt, not doing something cannot constitute a violation of the

discharge injunction. *See In re Dendy*, 396 B.R. at 179. Therefore, the discharge injunction does not impose affirmative duties on creditors to release liens or update credit reports unless failing to do either of those things constitutes an act to collect. *Mogg v. Midwest Collection Servs. (In re Mogg)*, 2007 Bankr. LEXIS 3086, *9-10, 2007 WL 2608501 (S.D. Ill. Sept. 5, 2007).

Failure to record a lien release on a voided lien cannot be construed as an act to collect in the absence of an attempt to coerce. *In re Dendy*, 396 B.R. at 179. Discharge in bankruptcy protects debtors from personal liability in the future; however, liens usually pass through because discharge does not prevent future *in rem* actions against the debtor. *Casarotto v. Mo. Dept. of Revenue (In re Casarotto)*, 407 B.R. 369, 377 (W.D. Mo. 2009). The creditor is left with an *in rem* interest in a debt "with no right to collect from the debtor or his property." *In re Dendy*, 396 B.R. at 178. The debt does not disappear. And § 524(f) explains that nothing prohibits debtors from voluntarily repaying discharged debts. 11 U.S.C. § 524. Because of this *in rem* interest, a creditor can refuse to release its lien, if state law allows it and there are no accompanying collection efforts. *In re Pratt*, 462 F.3d 14, 19 (1st Cir. 2006); *In re Casarotto*, 407 B.R. at 377 ("the mere act of refusing to release a lien, even if invalid, does not violate the discharge injunction absent an attempt to enforce the lien, a violation of court order, or an intent to collect the debt"). Refusal to release a lien is not an affirmative action in violation of a discharge injunction. However, if there is no economic benefit in retaining an *in rem* interest, then refusing to release the lien will be construed as a coercive attempt to reaffirm the debt; a collection effort in violation of § 524(a). *In re Casarotto*, 407 B.R. at 377. In *In re Pratt*, the creditor refused to release a lien on a worthless vehicle that had no prospect of generating future sale proceeds to which its lien would have attached. 462 F.3d at 20. Given that the junkyard would not take the vehicle with the lien still intact, the debtor was left with the untenable choice of either holding

onto the lemon and incurring costs to insure and garage it, or, paying the loan balance on the lien. *Id*. Therefore, refusal to release a lien can be "coercive in effect". *Id*. (holding creditor violated the discharge injunction); *but see* Reply to Motion for Sanctions, Gochenour v. Bank of America, No. 09-30119-ABL (Bankr. D. Nev. Feb. 15, 2017) (arguing no coercion where creditor's failure to release the (mortgage) lien would not have encumbered alienation or refinancing of the property because debtor had access to public court records for proof of lien avoidance and/or had ability itself to file the lien release document with recorder of deeds).

2. Failure to update a credit report in the absence of a debtor's request cannot be construed as an act to collect. The Court in *Bruno v. First USA Bank* ruled that § 524, standing alone, does not compel an affirmative duty to report to the credit agency, post-petition, that a charged off debt has now become a discharged debt. 356 B.R. 89, 91-92 (Bankr. W.D.N.Y. 2006) (distinguishing adverse credit report cases, which might constitute a collection effort under the FDCPA and Fair Credit Reporting Act, from the adverse credit report filed here, pre-petition, "which was true and accurate when it was made"); *see also Caldwell v. Redstone Fed. Credit Union*, No. 2-15-cv-01923-JHE, 2018 U.S. Dist. LEXIS No. 121524, at *1, *25 (Bankr. N.D. Ala. July 20, 2018) (on first impression in the Eleventh Circuit, "continuing to report a discharged debt to a credit reporting agency, on its own, does not violate § 524"). However, passive failure to update a credit report *after receiving a request* from a debtor to correct the information becomes a violation under the discharge injunction, if creditor coerces the debtors into paying their debts; thus, constituting a collection effort. *Torres v. Chase Bank*, 367 B.R. 478, 488-89 (Bankr. S.D.N.Y. 2007) (finding that creditor knows that not updating the credit report will keep pressure on debtors to repay their debts in the event they attempt to obtain additional credit). Even after a creditor has sold the debt, pre-petition to a third party, failure to

update the credit report can become a coercive collection effort where the credit report does not list the third-party buyer and / or where the creditor forwards discharged debt repayments to the third-party buyer, while keeping a percentage of the proceeds. *Haynes v. Chase Bank USA, N.A. (In re Haynes)*, No. 11-23212 (RDD), 2014 Bankr. LEXIS 3111, at *1, *12-13 (Bankr. S.D.N.Y. July 22, 2014) (finding that "as far as the debtor is concerned, the only creditor to approach to correct the credit reports is [the original creditor who sold the debts pre-petition]". In the absence of a debtor's request to correct the credit report, passive failure to update is not coercive and therefore, not a collection effort in violation of the discharge injunction. *See Caldwell v. Redstone Fed. Credit Union*, No. 2-15-cv-01923-JHE, 2018 U.S. Dist. LEXIS No. 121524, at *1, *27-28 (Bankr. N.D. Ala. July 20, 2018).

2. Given that many courts around the country have not read affirmative duties into the discharge injunction, which prohibits collection efforts after bankruptcy, it seems incongruous to therefore, read an affirmative duty into the automatic stay, which is merely a temporary injunction against collection efforts during the bankruptcy proceeding. *See In re Dendy*, 396 B.R. at 179; *see also In re Bruno*, 356 B.R. at 91-92; *see also In re Casarotto*, 407 B.R. at 377. Passive retention of repossessed collateral or refusal to turnover is no different than passive refusal to release a lien or refusal to update a credit report. Each of these passive activities are non-actions or omissions with the corresponding provisions calling for an affirmative act. Where § 524(a) uses active verbs like, "continuation of an action", "employment of process", or "an act, to collect or recover from", § 362(a)(3) similarly uses the phrases, "any act to obtain" or "any act...to exercise control". 11 U.S.C. §§ 362(a)(3), 524(a). Moreover, the use of the phrase "commencement or *continuation* of an action" in the discharge injunction parallels the Majority Courts' understanding of the phrase, to exercise control; meaning ongoing activity carried over

from the pre-petition period. *See, e.g.*, *In re Weber*, 719 F.3d at 77. Yet, courts in the Second and Ninth Circuits (circuits in the Majority approach to automatic turnover) applying § 524(a) have not found that *continuing* to report a discharged debt to a credit reporting agency is "*continuation* of an action." *See In re Bruno*, 356 B.R. at 91-92; *see In re Nash*, 464 B.R. at 874. The pre-petition credit reporting is analogous to pre-petition possession of repossessed collateral. Both passive activities begin prior to commencement and continue after petition date.

Similarly, courts have not construed refusal to release a lien as a passive activity absent an affirmative collection effort. *See In re Dendy*, 396 B.R. at 179. Refusing to release a lien in light of a future economic interest—i.e. lien attaching to future sales proceeds—is like refusing to turnover repossessed collateral in light of an economic interest in adequate protection. *See In re Pratt*, 462 F.3d at 20. However, the former becomes a coercive, *affirmative* collection effort in violation of the discharge injunction where there is no economic interest in retaining the lien, while the latter becomes an affirmative violation of the automatic stay the moment of filing, even if there is an economic interest in refusing turnover—i.e. the property is not insured. *See id.*; *but see, e.g.*, *Thompson*, 566 F.3d at 707.

Finally, courts acknowledge that failing to update a credit report will lead prospective lenders to raise interest rates on new loans or decline loan applications, thus adversely affecting the debtor. *See Caldwell v. Redstone Fed. Credit Union*, No. 2-15-cv-01923-JHE, 2018 U.S. Dist. LEXIS No. 121524, at *1, *27-28 (Bankr. N.D. Ala. July 20, 2018). However, despite this adverse effect, courts find the failure to act, itself, fine, provided the debtor has not requested a correction to the report. *In re Bruno*, 356 B.R. at 91-92 (advising future debtors to obtain a credit report after bankruptcy proceeding closes). On the other hand, failing to turnover property of the estate, while also adversely affecting the debtor who does not have access to his personal

vehicle, for example, is itself a violation, even in the absence of a debtor's request for turnover. *See, e.g., In re Weber*719 F.3d at 77. Thus, further illustrating the incongruity in courts' treatment of concerns under the discharge injunction and the automatic stay.

II. THE BANKRUPTCY COURT PROPERLY AWARDED WEINBERG AN ADMINISTRATIVE CLAIM FOR HIS SUBSTANTIAL CONTRIBUTION TO THE CASE IN ACCORDANCE WITH STATUTORY LANGUAGE IN SECTION § 503(b)

This court should affirm the lower court's ruling in favor of granting administrative expenses to Weinberg. A bankruptcy court, in passing on allowance of its claims, must first give effect to the plain meaning of the statutory text. In cases in which the text is ambiguous, however, the court may exercise its discretion to promote an equitable resolution within the scope of the Bankruptcy Code. In construing the statutory text, the court must pay heed to the traditional canons of statutory construction. These include assuming that all text has meaning (and thus avoiding superfluity), considering congressional intent as to the inclusion or exclusion of specific language, and interpreting the text in context of the whole. *E.g., Hibbs v. Winn*, 542 U.S. 88, 101 (2004); *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015); *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005). When the issue in dispute is not unambiguously resolved by the text of the Bankruptcy Code itself, the court may consider policy and equitable considerations to give effect to otherwise ambiguous text. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 810 (6th Cir. 2015).

A. The Plain Text Of Section 503(b) Indicates That The List Of Permitted Administrative Expenses Is Not Exclusive Of Costs For Substantial Contributions Made By A Creditor In A Chapter 7 Bankruptcy Case

Administrative expenses permitted by § 503(b) include, among other items, actual and necessary expenses incurred by creditors for reasons listed in § 503(b)(3). 11 U.S.C. §

503(b)(3). Under a plain language reading, the question of whether a creditor's substantial contribution expense is entitled to administrative expense treatment under § 503(b) is determined by (i) the high-level text in § 503(b), (ii) the more specific text in § 503(b)(3)(D), and (iii) contextual indications from the statute as a whole. 11 U.S.C. § 503(b).

1. A non-inclusive interpretation of § 503(b) would deny meaning to the word "including" in § 503(b), subsequently permitted administrative expenses cannot be limited to the ones illustrated by the statute. 11 U.S.C. § 503(b). While § 503(b) is the only basis for granting administrative expenses from an estate under the Bankruptcy code, courts have regularly provided for administrative expenses in bankruptcy proceedings outside of those explicitly listed. *See Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993); *see also Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.)*, 963 F.2d 1449, 1452 (11th Cir.1992). As justification for this practice, courts have cited § 102(3) which states that the terms "includes" and "including" are not limiting. 11 U.S.C. § 102(3). This follows the principle that in determining the ordinary meaning of a statue, effect must be given to all the words of the statute if possible. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004) ("A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant, . . .")

When Congress added the word "including" to 11 U.S.C. § 503(b), it provided discretion to the court by indicating that the listed administrative expenses were illustrative, not exhaustive. Historically, the courts have used this discretion to provide administrative expenses when equitably appropriate. *See, e.g., In re Al Copeland Enters., Inc.*, 991 F.2d at 238; *see also, In re N.P. Mining Co. Inc.*, 963 F.2d at 1452 (holding post-petition interest and civil fees incurred by post-petition business activities were an administrative expense despite not being explicitly listed

in § 503(b)). Construing § 503(b) to be exhaustive would remove meaning from the term "including" that was necessary to decide these cases equitably. Similarly, in *Hibbs v. Winn*, the court determined that a certain usage of the term "assessment" would negate the meaning of "levy" and "collection" used later in the same statute. 542 U.S. at 101. Because § 503(b) contains no language indicating that it is exhaustive, the language for this statute supports the court's prerogative of equitable discretion as to the inclusion of administrative expenses.

2. The list of permitted administrative expenses for creditors in specific bankruptcy case types under § 503(b)(3)(D) was intended to illustrate likely administrative expenses rather than limit potential administrative expenses. Prevailing statutory interpretive canon insists that when two statutes deal with the same subject matter, the more specific will prevail. *See Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992). While specific language may be better for indicating inclusivity in 11 U.S.C. §503(b) of the Bankruptcy Code, it is important to recognize that when Congress intends to exclude possible administrative expenses it explicitly does so in § 503(c). 11 U.S.C. § 503(c). Congress has not hesitated in using this avenue of control to institute limitations on administrative expenses as seen by the amendment to § 503 in the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 ("BAPCA") when it excluded certain types of possible administrative expenses to insiders of the debtor. *See* 109 P.L. 8, 119 Stat. 23. When the more specific statutory language is silent on an issue, practical and policy context of the statute can provide support for a reasonable interpretation. *See In re Connolly N. Am., LLC*, 802 F.3d at 817. In developing § 503, Congress was aware that substantial contributions by creditors are significantly more common in chapter 9 and chapter 11 bankruptcy cases than in chapter 7 bankruptcy cases. *Id.*

While § 503(b)(3)(D) is more specific to substantial contributions by creditors than 11 U.S.C. § 503(b) is, the meaning of the language in the former does not contradict the inclusivity of the later. To be sure, § 503(b)(3)(D) explicitly mentions substantial contributions made by creditors in chapter 9 and chapter 11 bankruptcy cases, but there is no indication that this list is exhaustive rather than merely illustrative. Instead of reaching to find if Congress had a limiting intent in this listing, it is a far more reasonable conclusion that Congress intended to illustrate the more common forms of substantial contributions made by creditors in chapter 9 and chapter 11 cases. *See In re Connolly N. Am., LLC,* 802 F.3d at 817. From the reading of 11 U.S.C. § 503(b)(3)(D), there is no basis for an exclusive interpretation over an inclusive interpretation without specific language so mandating. *Id*. If Congress intended to limit substantial contributions by creditors in a chapter 7 bankruptcy case as an administrative expense, it would have done so explicitly as it had done to other types of administrative expenses through amendments to § 503(c) in the BAPCA. 109 P.L. 8, 119 Stat. 23. Given that Congress knew that substantial contributions by creditors were so much more common in chapter 9 and 11 cases, it is reasonable to determine that Congress understood that it could not list every possible administrative expense and instead used §503(b) as an illustrative list of the more common types of expenses. *See In re Connolly N. Am., LLC,* 802 F.3d at 817. Relying on an illustrative interpretation of § 503(b)(3)(D), this Court has discretion to provide an equitable resolution to the case.

3. The use of illustrative terminology and the incomplete listing of other permitted administrative expenses throughout § 503 indicate that the substantial contributions provided by the Respondent in the present case should be permitted administrative expenses under § 503(b)(3)(D). 11 U.S.C. § 503. Language in a statute is known by the company it keeps.

Mediofactoring v. McDermott (In re Connolly N. Am., LLC), 802 F.3d 810 (6th Cir. 2015). While the exclusion of a term in one part of the statute is meaningful if it is included in another part of the statute, courts must try to harmonize their interpretations of statutes with previous interpretations of statutes to provide the most consistent interpretation of the law as possible. *Id.*

While § 503(b)(3) and § 503(b)(3)(D) do not include the term "including," the language in § 503(b) is sufficiently expansive as to provide courts the discretion to determine what type of action is beneficial to the bankruptcy estate, and thus deserving of administrative claim status. 11 U.S.C. § 503. In *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015), the Sixth Circuit relied on the term "including" in 11 U.S.C. § 503(b) to indicate that the enumerated categories of administrative expenses are illustrative without the more specific statutory language indicating inclusivity through the term "including". Even though, § 503(b)(1)(A) has the term "including", relying on this language to insist that congress must have intended to explicitly exclude the term from § 503(b)(3)(D) is illogical. 11 U.S.C. § 503. This language is not used in any subsequent section of the statute to qualify potential administrative expenses listed, even though the courts have expanded those definitions to be illustrative. *See, e.g.*, *In re Al Copeland Enters., Inc.*, 991 F.2d at 238; *see also, In re N.P. Mining Co. Inc.*, 963 F.2d at 1452. It is just as reasonable to assume that § 503(b)(1)(A) includes the term "including" to indicate illustrative intent in each subsection of the statute. Given that there is no compelling evidence let alone definitive evidence that an exclusive interpretation of § 503(b) is the correct interpretation, the court should rely on equitable principles to rule in favor of the Respondent on the issue of administrative expenses.

B. The Respondent's Substantial Contribution To The Case Is A Permitted Administrative Expense Based On Equitable Considerations Unless This Court Finds It Unambiguously Outside The Scope Of The Bankruptcy Code

This Court should affirm the Bankruptcy Court's determination that ambiguities in the statutory text of § 503(b) reflect a Congressional judgment to afford the bankruptcy court discretion to contemplate equitable considerations and promote the fairest outcome for the bankruptcy estate and all parties in interest. This Court should consider (1) the precedent for this type of equitable discretion, (2) the fairness of granting the Respondent an administrative expense, and (3) the policy incentives supported by the outcome.

1. The present case is more representative of caselaw where equitable discretion plays a larger role in a court's decision than the alternative, consequently this Court should follow the principles of equity in making its decision on the issue of administrative expenses. When fraudulent activities are discovered, principles of equity require that bankruptcy law operate to provide an appropriate remedy. *Pepper v. Litton*, 308 U.S. 295, 307 (1939) (finding that the fraudulent nature of a majority stockholder's scheme to improve his position in recovering from a bankruptcy estate, although legal in every step, elicited an equitable result against the shareholder). The bankruptcy court cannot provide equitable relief against fraud if said relief is outside the bounds of the Bankruptcy Code. *Law v. Siegel*, 134 S. Ct. 1188, 1194-95 (2014) (finding that equitable relief was unavailable against a fraudulent debtor's assets when those assets were protected by a state statute).

The debtor's sheltering of $100,000 was a clear fraudulent attempt to hide assets from the bankruptcy estate. This deception is similar to the fraudulent scheme to rob the bankruptcy estate in *Pepper*. *See* 308 U.S. at 307. Unlike in *Siegel*, there is no shelter outside the Bankruptcy Code that protects the funding hidden by the debtor in the present case. *See* 134 S.

Ct. 1188 at 1194-95. While neither cited case dealt with a creditor claiming an administrative expense, equitable principles in both cases were elicited based on the illicit actions of the debtor, as is the case here. Unless the Court rules that specific statutory text in the bankruptcy code excludes equitable relief, there is a substantial basis to rule on the issue in equity.

2. Equitable considerations demand that administrative expenses are owed to the Respondent because the Respondent 's substantial contribution was an endeavor to increase the value of the estate as a whole beyond its own interests as a creditor. Generally, fraudulent activities conducted by the debtor in a bankruptcy case give rise to claims by the bankruptcy estate for compensation, to the benefit of the creditors. *Pepper v. Litton*, 308 U.S. 295 (1939). When a creditor makes a substantial contribution to the bankruptcy estate, that creditor is assisting in fulfilling the trustee's role of administering the estate. *In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018). Administrative expenses are the highest priority claim to be paid in a bankruptcy case. 11 U.S.C. § 507(a)(1).

The debtor's fraudulent activities attempted to deprive the estate of $100,000. When uncovered, this amount was owed to the estate. It was the trustee's responsibility to uncover fraudulent activity on the part of the debtor. In conducting a financial audit through a collections law firm, the Respondent was fulfilling the responsibilities of the trustee. Because this type of expenditure benefitted the estate as a whole, rather than the creditor itself, there is no reason for the expenses for this effort to be paid by the creditor personally, rather than by the bankruptcy estate. If the creditor is not reimbursed, this creates a windfall of $25,000 for the estate. Although it is likely that these expenses would eventually filter down to creditors upon liquidation, the Respondent certainly would not be reimbursed in full for the $25,000 expenditure paid out at that stage. Consequently, an equitable result would provide the

Respondent with compensation in the form of an administrative expense for its substantial contribution to the trust.

3. Denying the Respondent administrative expenses would cool off effort to expose fraud activities, which consequently reduces accountability of the trust and the debtor. *In re Maust Transp., Inc.*, 589 B.R. at 898-99 ("If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate."). Given that the goal of a chapter 7 bankruptcy proceeding is to ensure an honest distribution of the assets of a debtor, a trustee is expected to execute the bankruptcy estate as efficiently and effectively as reasonably possible. Due to the complexities of proceedings, creditors in chapter 9 and 11 bankruptcy cases, are encouraged to make substantial contributions to a trust to facilitate its effective execution. *See In re Connolly N. Am., LLC*, 802 F.3d at 817. As in the present case, creditors can also make such beneficial contributions, although this is rare.

Not granting administrative expenses to the Respondent discourages efficiency in the execution of the estate. Even further, this disincentivizes creditors from uncovering fraud or negligence on the part of a debtor or trustee. By granting more parties involved in the case greater capacity to hold debtors and trustees accountable, the court creates a policy that better supports the goals of the bankruptcy process as a whole.

CONCLUSION

For the foregoing reasons, the judgment of the U.S. Court of Appeals for the Thirteenth Circuit should be affirmed.

Respectfully submitted,

Dated: 1-21-19 /s/

Team R: #54
Attorneys for Respondent